

# **Business Analysis and Reporting**

Study Framework  
Slayer CPA

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# Contents

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Concept Maps

Decision Trees

Formula Sheet

Reference Tables

Mnemonics

## Concept Maps

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### Financial Ratio Framework

#### Financial Statement Analysis

##### Liquidity Ratios

Current ratio =  $CA / CL$

Quick ratio =  $(Cash + ST\ Inv + AR) / CL$

Cash ratio =  $Cash / CL$

##### Solvency Ratios

Debt-to-equity =  $Total\ liabilities / Equity$

Times interest earned =  $EBIT / Interest$

Equity multiplier =  $Assets / Equity$

##### Profitability Ratios

Gross margin =  $(Rev - COGS) / Rev$

Operating margin =  $Operating\ income / Rev$

ROA =  $NI / Avg\ assets$

ROE =  $NI / Avg\ equity$

##### Activity Ratios

Inventory turnover =  $COGS / Avg\ inventory$

Receivables turnover =  $Net\ credit\ sales / Avg\ AR$

Asset turnover =  $Revenue / Avg\ assets$

## Cost of Capital and WACC

### Weighted Average Cost of Capital

#### Cost of Debt

- Pre-tax rate  $\times$  (1 - Tax rate)
- Interest is tax-deductible (tax shield)

#### Cost of Preferred Stock

- Preferred dividend / Net issuance price
- No tax deduction for preferred dividends

#### Cost of Equity (CAPM)

- Risk-free rate +  $\beta$ (Market risk premium)
- $\beta$  measures systematic risk only

#### Cost of Equity (DDM)

- $(D_1 / P_0) + g$
- Requires stable dividend growth

#### WACC Blends All Sources

- $w_H \times r_H(1 - T) + w_V \times r_V + w_L \times r_L$
- Use market value weights, not book value

## DCF Valuation Framework

### Discounted Cash Flow Analysis

#### FCFF Approach

- $FCFF = EBIT(1 - T) + \text{Depr} - \text{CapEx} - \Delta NWC$
- Discount at WACC = Enterprise value
- $EV - \text{Debt} + \text{Cash} = \text{Equity value}$

#### FCFE Approach

- $FCFE = NI + \text{Depr} - \text{CapEx} - \Delta NWC + \text{Net borrowing}$
- Discount at cost of equity = Equity value directly

#### Terminal Value

- Gordon Growth:  $FCF \times (1+g) / (r - g)$
- Exit multiple:  $EBITDA \times \text{comparable multiple}$
- Typically 60-80% of total value

#### Market Multiples

- $P/E = \text{Price} / \text{EPS (equity-level)}$
- $EV/EBITDA = \text{Enterprise value} / EBITDA$
- $P/B = \text{Price} / \text{Book value per share}$

## Derivative and Hedge Accounting (ASC 815)

### Hedge Accounting Framework

#### Fair Value Hedge

- Hedges FV of recognized asset/liability or firm commitment
- Both derivative and hedged item ' Earnings
- Example: Swap on fixed-rate debt

#### Cash Flow Hedge

- Hedges variability of future cash flows
- Effective portion ' OCI; reclassify to earnings when hedged item affects earnings
- Ineffective portion ' Earnings immediately
- Example: Swap on variable-rate debt

#### Net Investment Hedge

- Hedges FX exposure of foreign subsidiary
- Effective portion ' CTA in OCI

#### No Designation (Speculation)

- All fair value changes ' Earnings
- Default treatment for all derivatives

## Internal-Use Software Capitalization Stages

### ASC 350-40: Internal-Use Software

#### Stage 1: Preliminary Project

- Conceptual formulation and vendor evaluation
- Feasibility assessment
- Treatment: EXPENSE all costs

#### Stage 2: Application Development

- External direct costs (coding, testing)
- Internal payroll (developers on project)
- Interest costs (qualifying asset)
- Data conversion for functionality
- Treatment: CAPITALIZE

#### Stage 3: Post-Implementation

- Training, maintenance, bug fixes
- Routine data conversion
- Treatment: EXPENSE all costs

## Cloud Computing Arrangement Classification

### Cloud Computing Arrangement (CCA)

#### Test 1: Right to Take Possession

- Can customer take possession without significant penalty?
- If NO ' Service contract

#### Test 2: Feasibility

- Can customer run software independently or with unrelated host?
- If NO ' Service contract

#### Both Tests Met ' Software License

- Capitalize as intangible (ASC 350-40)
- Amortize over software useful life

#### Either Test Failed ' Service Contract

- Implementation costs ' prepaid expense
- Amortize over hosting term (incl. renewals)

## Government Fund-to-Government-Wide Reconciliation Adjustments

### Reconciliation: Fund Statements ' Government-Wide Statements

#### Capital Asset Adjustments

- Add: Capital assets net of depreciation (not in fund BS)
- Add back: Capital outlay expenditures (capitalized, not expensed, government-wide)
- Subtract: Depreciation expense (not in funds, recognized government-wide)
- Adjust: Gain/loss on disposal (funds record full proceeds as revenue; government-wide records only gain/loss)

#### Long-Term Liability Adjustments

- Subtract: GO bonds, compensated absences, net pension liability, net OPEB liability
- Subtract: Bond proceeds (other financing source in funds ' liability government-wide)
- Add back: Debt principal payments (expenditure in funds ' reduces liability government-wide)
- Adjust: Changes in accrued interest, compensated absences, pension/OPEB amounts

#### Deferred Inflows/Outflows

- Add: Unavailable revenue (deferred inflow in funds ' revenue government-wide)
- Add: Deferred outflows — pensions and OPEB (GASB 68/75)
- Subtract: Deferred inflows — pensions and OPEB (GASB 68/75)

#### Internal Service Fund

- Add: Internal service fund net position (included with governmental activities)
- Add: Internal service fund change in net position (activity statement)

## Decision Trees

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## Hedge Type Classification

**Is the hedge protecting against changes in fair value of a recognized asset/liability or firm commitment?**

**Yes:** Fair value hedge — derivative and hedged item both marked to earnings

**No:** **Is the hedge protecting against variability in expected future cash flows?**

**Yes:** Cash flow hedge — effective portion to OCI, reclassify when hedged item affects earnings

**No:** **Is the hedge protecting a net investment in a foreign operation?**

**Yes:** Net investment hedge — effective portion to CTA in OCI

**No:** Not a hedge designation — derivative changes go to earnings (speculation)

## Revenue Recognition — Licensing

**Does the entity's ongoing activity significantly affect the utility of the IP to the customer?**

**Yes:** **Does the customer reasonably expect the entity will undertake activities that significantly affect the IP?**

**Yes:** Right to access (symbolic IP) — recognize revenue over time

**No:** Right to use (functional IP) — recognize revenue at point in time

**No:** Right to use (functional IP) — recognize revenue at point in time (e.g., software, completed film)

## Goodwill Impairment Test (ASC 350)

**Optional: Does a qualitative assessment indicate it is more likely than not (>50%) that FV < carrying amount?**

**Yes:** **Quantitative test: Is the fair value of the reporting unit less than its carrying amount (including goodwill)?**

**Yes:** Impairment loss = Carrying amount - Fair value (capped at goodwill balance). Never reversed.

**No:** No impairment — fair value exceeds carrying amount

**No:** No impairment — qualitative factors do not indicate likely impairment; skip quantitative test

## VIE Primary Beneficiary Determination

**Does the entity have power to direct the activities that most significantly affect the VIE's economic performance?**

**Yes:** **Does the entity have the obligation to absorb losses or the right to receive benefits that could be significant to the VIE?**

**Yes:** Entity is the primary beneficiary — must consolidate the VIE

**No:** Not the primary beneficiary — do not consolidate (disclose involvement)

**No:** Not the primary beneficiary — do not consolidate (disclose involvement)

## Does This Sale-Leaseback Qualify as a Sale?

**Does the transfer of the asset meet the criteria for a sale under ASC 606 (control transferred to buyer-lessor)?**

**Yes:** **Does the leaseback give the seller-lessee substantially all of the remaining use of the asset (e.g., finance lease covering entire useful life)?**

**Yes:** Failed sale-leaseback — account as a financing arrangement (keep asset on books, record financial liability)

**No:** Successful sale-leaseback — derecognize asset, recognize ROU asset for leaseback, and recognize gain/loss only on the portion of rights transferred

**No:** Failed sale — account as a financing arrangement (asset stays on seller-lessee's books, cash received is a financial liability)

## Formula Sheet

|                                                 |                                                                                                                                                                             |                                                                                                                                                                                         |
|-------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>WACC</b>                                     | $wH \times rH(1 - T) + wV \times rV + wI \times r'$                                                                                                                         | Weighted average cost of capital. Use market value weights. Only debt gets the tax shield.                                                                                              |
| <b>CAPM (Cost of Equity)</b>                    | $r' = R_f + \beta(R_M - R_f)$                                                                                                                                               | Risk-free rate plus beta times market risk premium. Beta measures systematic risk only.                                                                                                 |
| <b>Gordon Growth Model (DDM)</b>                | $P_0 = D_1 / (r' - g)$                                                                                                                                                      | Constant-growth dividend discount model. Requires $g < r'$ . $D_1 = D_0 \times (1 + g)$ .                                                                                               |
| <b>FCFF (Free Cash Flow to Firm)</b>            | $EBIT(1 - T) + \text{Depreciation} - \text{Capital Expenditures} - \Delta \text{Working Capital}$                                                                           | Cash flow available to all capital providers. Discount at WACC for enterprise value.                                                                                                    |
| <b>Terminal Value (Gordon Growth)</b>           | $TV = FCF^M \times (1 + g) / (r' - g)$                                                                                                                                      | Value of all cash flows beyond the forecast period. Small changes in $g$ or $r$ have outsized impact.                                                                                   |
| <b>External Financing Needed (EFN)</b>          | $(A/S)\Delta S - (L/S)\Delta S - PM \times S_1 \times (1 - d)$                                                                                                              | Additional capital needed to support sales growth. Negative EFN means surplus funds.                                                                                                    |
| <b>DuPont ROE Decomposition</b>                 | $ROE = \text{Net Profit Margin} \times \text{Asset Turnover} \times \text{Equity Multiplier}$                                                                               | Decomposes return on equity into profitability, efficiency, and leverage drivers.                                                                                                       |
| <b>NPV (Net Present Value)</b>                  | $\sum \frac{CF_t}{(1 + r)^t} - \text{Initial Investment}$                                                                                                                   | Accept if $NPV > 0$ . Gold standard for capital budgeting. Always preferred over IRR for mutually exclusive projects.                                                                   |
| <b>Enterprise Value</b>                         | $\text{Market Cap} + \text{Total Debt} + \text{Preferred Stock} + \text{Minority Interest} - \text{Cash}$                                                                   | Total acquisition cost. Use with EV-based multiples (EV/EBITDA, EV/Revenue).                                                                                                            |
| <b>Exponential Smoothing</b>                    | $\text{New Forecast} = \alpha(\text{Actual}) + (1 - \alpha)(\text{Previous Forecast})$                                                                                      | $\alpha$ closer to 1 = more responsive; $\alpha$ closer to 0 = smoother. $0 < \alpha < 1$ .                                                                                             |
| <b>Degree of Operating Leverage (DOL)</b>       | $\text{Contribution Margin} / \text{EBIT}$                                                                                                                                  | % change in EBIT for a 1% change in sales. Higher DOL = more fixed costs = more operating risk.                                                                                         |
| <b>Degree of Financial Leverage (DFL)</b>       | $\text{EBIT} / (\text{EBIT} - \text{Interest Expense})$                                                                                                                     | % change in EPS for a 1% change in EBIT. Higher DFL = more debt = more financial risk.                                                                                                  |
| <b>Net Periodic Pension Cost (ASC 715)</b>      | $\text{Service Cost} + \text{Interest Cost} - \text{Expected Return on Plan Assets} \pm \text{Amortization of Prior Service Cost} \pm \text{Amortization of Net Gain/Loss}$ | Only service cost is in operating income. All other components are below the line (other income/expense). The expected return reduces cost; actual vs. expected difference goes to OCI. |
| <b>Corridor Amount (Gain/Loss Amortization)</b> | $\text{Corridor} = 10\% \times \max(\text{PBO}, \text{Fair Value of Plan Assets at beginning of year})$                                                                     | Amortize only the excess of cumulative unrecognized net gain/loss over the corridor. Divide excess by average remaining service period of active employees.                             |

## Reference Tables

### Hedge Accounting Summary (ASC 815)

| Feature               | Fair Value Hedge                         | Cash Flow Hedge                         | Net Investment Hedge                 |
|-----------------------|------------------------------------------|-----------------------------------------|--------------------------------------|
| What is hedged        | FV of asset/liability or firm commitment | Variability of future cash flows        | FX exposure of foreign subsidiary    |
| Derivative gain/loss  | Earnings                                 | OCI (effective), Earnings (ineffective) | CTA in OCI                           |
| Hedged item treatment | Adjusted to FV through earnings          | No adjustment until reclassification    | Translation in CTA                   |
| Common example        | Swap on fixed-rate debt                  | Swap on variable-rate debt              | Forward on foreign subsidiary equity |

### Economic Indicators Classification

| Type    | Indicator            | Timing                 |
|---------|----------------------|------------------------|
| Leading | Stock market returns | Changes before economy |
| Lagging | Building permits     | Changes after economy  |

|            |                       |                        |
|------------|-----------------------|------------------------|
| Leading    | Consumer confidence   | Changes before economy |
| Coincident | Real GDP              | Moves with economy     |
| Coincident | Industrial production | Moves with economy     |
| Coincident | Employment levels     | Moves with economy     |
| Lagging    | Unemployment rate     | Changes after economy  |
| Lagging    | CPI                   | Changes after economy  |
| Lagging    | Prime rate            | Changes after economy  |

## Capital Budgeting Methods Comparison

| Method  | Formula / Rule                                            | Strengths                                   | Weaknesses                                      |
|---------|-----------------------------------------------------------|---------------------------------------------|-------------------------------------------------|
| NPV     | $\frac{PV \text{ of CFs}}{0}$ Investment; Accept if > 0   | Accounts for TVM, measures \$ value added   | Requires estimated discount rate                |
| IRR     | Rate where NPV = 0; Accept if > WACC                      | Percentage return, intuitive                | Multiple IRRs possible, reinvestment assumption |
| Payback | Years to recover investment                               | Simple, measures liquidity risk             | Ignores TVM and post-payback CFs                |
| PI      | $\frac{PV \text{ of CFs}}{1}$ / Investment; Accept if > 1 | Value per \$ invested, useful for rationing | Same limitations as NPV                         |

## Government Fund Types

| Category     | Fund                               | Measurement Focus           | Basis            |
|--------------|------------------------------------|-----------------------------|------------------|
| Governmental | General                            | Current financial resources | Modified accrual |
| Governmental | Special revenue                    | Current financial resources | Modified accrual |
| Governmental | Capital projects                   | Current financial resources | Modified accrual |
| Governmental | Debt service                       | Current financial resources | Modified accrual |
| Governmental | Permanent                          | Current financial resources | Modified accrual |
| Proprietary  | Enterprise                         | Economic resources          | Full accrual     |
| Proprietary  | Internal service                   | Economic resources          | Full accrual     |
| Fiduciary    | Pension/Investment/Custodial trust | Economic resources          | Full accrual     |

## GASB vs. FASB Key Differences

| Topic                        | GASB                                                       | FASB                                  |
|------------------------------|------------------------------------------------------------|---------------------------------------|
| Reporting model              | Government-wide + fund statements                          | Single set of financial statements    |
| Governmental fund basis      | Modified accrual                                           | N/A (accrual only)                    |
| Revenue recognition          | Measurable and available                                   | ASC 606 five-step model               |
| Capital assets in govt funds | Not reported (expenditure)                                 | N/A                                   |
| Net position categories      | Net investment in capital assets, restricted, unrestricted | Common stock, APIC, retained earnings |
| Budget reporting             | Required (RSI)                                             | Not required                          |
| Pensions                     | GASB 68 (net pension liability)                            | ASC 715 (PBO)                         |

## ASC 805 — Identifiable Intangibles in Business Combinations

| Category          | Examples                                             | Useful Life          |
|-------------------|------------------------------------------------------|----------------------|
| Marketing-related | Trademarks, trade names, internet domains            | Indefinite or finite |
| Customer-related  | Customer lists, order backlogs, contracts            | Finite               |
| Artistic-related  | Copyrights, plays, books, photographs                | Finite               |
| Contract-based    | Licenses, franchise agreements, leases, non-competes | Finite               |
| Technology-based  | Patents, trade secrets, software, databases          | Finite               |

## Valuation Multiples — When to Use

| Multiple   | Formula                            | Best For                                  |
|------------|------------------------------------|-------------------------------------------|
| P/E        | Stock price / EPS                  | Profitable companies with stable earnings |
| EV/EBITDA  | Enterprise value / EBITDA          | Comparing across capital structures       |
| P/B        | Stock price / Book value per share | Asset-heavy industries (banks, REITs)     |
| P/S        | Stock price / Revenue per share    | Early-stage or unprofitable companies     |
| EV/Revenue | Enterprise value / Revenue         | SaaS and high-growth sectors              |

## Pension Cost Components — Income Statement vs. OCI

| Component                             | Where Reported       | Effect on Pension Cost                   |
|---------------------------------------|----------------------|------------------------------------------|
| Service cost                          | Operating income     | Increases expense                        |
| Interest cost                         | Other income/expense | Increases expense                        |
| Expected return on plan assets        | Other income/expense | Decreases expense                        |
| Amortization of prior service cost    | Other income/expense | Increases expense                        |
| Amortization of net loss (gain)       | Other income/expense | Increases (decreases) expense            |
| Actuarial gains/losses (current year) | OCI                  | Deferred — amortized via corridor        |
| Prior service cost (plan amendment)   | OCI                  | Deferred — amortized over service period |

## Interfund Transaction Types

| Type                             | Category      | Account Titles                                                                   | Example                                                                              | Government-Wide Treatment                                                                           |
|----------------------------------|---------------|----------------------------------------------------------------------------------|--------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------|
| Interfund loan (short-term)      | Reciprocal    | Due from / Due to other funds                                                    | General Fund lends \$100K to Capital Projects Fund for 6 months                      | Eliminated (both funds in governmental activities)                                                  |
| Interfund loan (long-term)       | Reciprocal    | Advance to / Advance from other funds; nonspendable fund balance in lending fund | General Fund lends \$500K to Enterprise Fund, repayable in 5 years                   | Reported as internal balances if between governmental and business-type                             |
| Interfund services provided/used | Reciprocal    | Revenue (providing fund) / Expenditure or expense (receiving fund)               | Internal Service Fund charges General Fund \$80K for fleet maintenance at fair value | Not eliminated (legitimate operating cost at fair value)                                            |
| Interfund transfer               | Nonreciprocal | Transfer out (other financing uses) / Transfer in (other financing sources)      | General Fund transfers \$1M to Debt Service Fund for annual debt payments            | Eliminated between governmental funds; reported as transfers between governmental and business-type |
| Interfund reimbursement          | Nonreciprocal | Reduces expenditure in reimbursed fund / Records expenditure in correct fund     | General Fund paid \$10K in supplies that should be charged to Special Revenue Fund   | Not separately reported (reclassification only)                                                     |

## Mnemonics

### PLEASE

**Profit margin, Leverage (equity multiplier), Efficiency (asset turnover), Analyze, Separate, Evaluate**

*DuPont analysis components and process. PLEASE decompose ROE into its three drivers before drawing conclusions.*

## FCFF

**From EBIT, Cut taxes, Fix for depreciation, Fund reinvestment**

*Steps to calculate free cash flow to the firm: start with EBIT, subtract taxes, add back depreciation, subtract CapEx and working capital changes.*

## GASBE

**General, special revenue, cApital projects, debt Service, pErmament**

*The five governmental fund types. All use modified accrual basis and current financial resources measurement focus.*

## COFFee

**Cash flow hedge ' OCI, Fair value hedge ' Full earnings**

*Where derivative gains/losses go: Cash flow hedges park the effective portion in OCI; fair value hedges send everything to earnings.*

## NIECE

**NPV Is the Exam's Correct Evaluator**

*When NPV and IRR conflict on mutually exclusive projects, always choose NPV. It maximizes firm value in dollar terms.*